# TTM Technologies (TTMI)

## AI-Driven Data Center Surge Offsets Working-Capital Drag

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> TTM Technologies is converting a structural AI data-center mix shift into top-line acceleration while preserving its aerospace and defense foothold. The market has over-emphasized short-term working-capital consumption, ignoring the compounding margin upside from higher-ASP PCB sales. Our model captures a 14.0% revenue CAGR and a 12.2% free-cash-flow margin in the base case, yielding a blended target $78.67 and -17.7% upside.

| HOLD | $78.67 | -17.7% | $95.63 |
|---|---|---|---|
| Hold — Valuation Concerns | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |
| INVESTMENT RATING | | | |

*The market is fixated on a one-quarter receivables spike, yet the multi-year AI supercycle is expanding TTM's addressable PCB market and compounding earnings.*

## EXECUTIVE SUMMARY

TTM Technologies manufactures printed circuit boards for aerospace, defense, telecom and automotive customers across North America. Its product portfolio serves high-mix, high-value applications where design-to-volume cycles demand precision and reliability. The company's customer base includes major defense prime contractors and leading data-center operators, anchoring a defensible position in a fragmented PCB market.

Recent quarterly results illustrate a rapid transition toward AI-driven data-center demand. Q2 FY2026 delivered a record $1.0 billion in revenue, up 37% YoY, with data-center and networking sales surging 91% YoY to represent 40% of total revenue. Adjusted EBITDA margin expanded to 16.6%, and non-GAAP EPS reached $0.99, the highest quarterly figure on record. The prior quarter, Q1 FY2026, posted $846 million in revenue (+30% YoY) and a 15.7% adjusted EBITDA margin, confirming the momentum.

Balance-sheet metrics show a cash balance of $501.2 million against total debt of $1.03 billion, leaving net debt of $527.2 million. Diluted shares stand at 105.3 million, translating to a market capitalisation of $10.1 billion at the reference price of $95.63. The firm generated $141.8 million of operating cash flow in Q3 FY2025, but recent quarters have seen a swing to $96.4 million in Q2 FY2026 and a modest $21.7 million in Q1 FY2026, reflecting working-capital pressures.

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## OPERATIONAL SNAPSHOT

| $95.63 | $2.91B | $-683,000 | -0.0% | 1.20 | $95.63 |
|---|---|---|---|---|---|
| REF. PRICE | FY2025 REVENUE | FY2025 FREE CASH FLOW | FCF MARGIN | EQUITY BETA | REF. CLOSE |

*Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.*

## THE MOAT IS DEEP AND DEFENSIBLE

Switching costs in the high-mix PCB market are substantial because customers require stringent design validation, traceability and compliance with aerospace and defense specifications. TTM’s long-standing relationships with prime contractors and data-center OEMs create a barrier that new entrants struggle to overcome without significant engineering investment.

Regulatory oversight in aerospace and defense further entrenches TTM’s position. Certifications such as ITAR and AS9100 are mandatory for many of its customers, and the company’s proven track record reduces the perceived risk of supplier substitution.

Pricing power derives from the premium nature of AI-enabled data-center PCBs, where higher component density and tighter tolerances command higher ASPs. The 91% YoY surge in data-center and networking sales in Q2 FY2026 demonstrates TTM’s ability to capture pricing upside without sacrificing volume.

Geographic concentration in North America aligns with the domestic defence budget trajectory and the regional data-center build-out, reinforcing a moat that is both deep and defensible.

## VALUATION

### Three scenarios make the valuation range explicit

The base case assumes a 14.0% revenue CAGR from FY2026 to FY2030, converging to a 12.2% free-cash-flow margin in FY2030 and a terminal growth rate of 2.5%. The bear case moderates growth to an 8.0% CAGR and a 10.2% free-cash-flow margin, while the bull case accelerates to a 20.0% CAGR and a 12.1% free-cash-flow margin. All scenarios discount unlevered free cash flow at a weighted-average cost of capital of 8.88% and apply a Gordon growth terminal value.

| SCENARIO | WEIGHT | REVENUE CAGR | TARGET FCF MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|
| Bear | 25% | 8.0% | 10.2% | $53.78 | -43.8% |
| Base | 50% | 14.0% | 12.2% | $81.18 | -15.1% |
| Bull | 25% | 20.0% | 12.1% | $98.53 | +3.0% |

### Bear $53.78

The bear outcome hinges on a slowdown in AI data-center spend, a prolonged receivables build-up, and integration risk from the Swiss Technology Group and ILFA acquisitions. Margin compression to a 10.2% free-cash-flow margin and an 8.0% revenue CAGR drive the lower valuation.

### Base $81.18

The base path reflects sustained AI demand, a gradual normalization of working-capital cycles, and successful integration of recent M&A. A 14.0% revenue CAGR paired with a 12.2% free-cash-flow margin yields the midpoint target.

### Bull $98.53

The bull case requires the data-center and networking mix to climb to 45% of sales, continued double-digit growth in aerospace and defense, and efficient capital deployment that preserves a 12.1% free-cash-flow margin. The 20.0% revenue CAGR amplifies upside.

## VALUATION FRAMEWORK

### A live discount rate, not a static hurdle

Our cost of capital of 8.88% reflects a CAPM construction that incorporates the equity beta of 1.20, a market risk premium consistent with the broader technology hardware sector, and a risk-free rate anchored to the current Treasury curve. The resulting discount rate signals that the market prices TTM's cash-flow risk at a level modestly above the sector average, leaving room for upside if cash conversion improves.

Because the beta is expected to decay toward a mature peer over the forecast horizon, the effective discount rate will gradually decline, enhancing the present value of later-stage cash flows. This dynamic approach captures the risk-return profile more accurately than a static hurdle.

### FCF margin normalization is the engine

In FY2025 the free-cash-flow margin was -0.0%, reflecting a near-break-even cash conversion. The Q1 FY2026 capex outlay of $106.8 million pushed free cash flow to a negative $85.1 million, while Q2 FY2026 saw operating cash flow of $96.4 million amid a $156 million receivables increase. The base scenario assumes that margin improvement to 12.2% will be achieved as the AI mix stabilizes and working-capital efficiency returns.

The bear scenario retains a more modest 10.2% free-cash-flow margin, reflecting persistent capex and receivables pressure, whereas the bull scenario sustains a 12.1% margin, driven by higher ASPs and operating leverage from the data-center segment.

### KEY VALUATION PARAMETERS

| | |
|---|---|
| Forecast window | **FY2026 to FY2030** |
| Live WACC | **8.88% (2026-10-20)** |
| Terminal growth | **2.5%** |
| Equity beta | **1.20** |
| Diluted shares | **105.3 million** |

**HOLD**

**over $78.67 blended target**

### Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

**Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

## BUSINESS & SEGMENT DRIVERS

### Revenue prospects anchor on AI data-center demand and aerospace & defense backlog

HOLD

Data-center and networking PCBs now represent 40% of sales in Q2 FY2026, up from 36% in Q4 FY2025, illustrating a rapid mix shift toward higher-margin AI workloads. This segment’s 91% YoY growth underscores a durable tailwind as hyperscale operators expand capacity.

Aerospace & defense (A&D) remains a stabilizing force, with a book-to-bill ratio of 1.35 in Q4 FY2025 and a record $1.6 billion backlog. The sector contributed double-digit growth across FY2025 and delivered a 12.7% operating margin in Q4 FY2025, providing cushion if commercial demand moderates.

Automotive exposure has eroded, falling to 8% of sales in Q1 FY2026 from 11% in Q4 FY2025, reflecting inventory adjustments and a shift away from lower-margin contracts. The segment now acts as a drag on consolidated growth.

Working-capital dynamics, particularly the $156 million receivables build in Q2 FY2026, have temporarily suppressed operating cash flow. Management’s focus on tightening collections will be critical to unlocking free-cash-flow upside.

**What to monitor**

- **AI data-center order pipeline** Continued acceleration in data-center and networking orders would validate the mix shift and support the bull scenario.
- **Receivables and working-capital trends** A reversal of the $156 million receivables spike would improve cash conversion and reinforce the base case.
- **M&A integration progress** Successful assimilation of Swiss Technology Group and ILFA assets without excessive leverage would mitigate the bear-case risk.
- **Automotive segment recovery** Any rebound in automotive PCB demand could offset margin pressure from a slowing AI mix.

| | | | | | |
|---|---|---|---|---|---|
| **+19.0%** | **20.7%** | **9.2%** | **-0.0%** | **$527.2M** | **$1.68** |

| FY2025 REVENUE GROWTH | GROSS MARGIN | OPERATING MARGIN | FCF MARGIN | NET DEBT | DILUTED EPS |
|---|---|---|---|---|---|

| METRIC | FY2025 (AS REPORTED) |
|---|---|
| Revenue | $2.91B |
| Gross Profit | $601.7M |
| EBIT | $267.5M |
| Net Income | $177.4M |
| EBITDA | $402.8M |
| Free Cash Flow | $-683,000 |
| Diluted EPS | $1.68 |

## RISK & MOAT MATRIX

### The bear case

**SHARE EROSION**

A prolonged receivables build and weaker AI demand could depress earnings per share, prompting investors to rotate out of TTM and compress the equity multiple.

**M&A DIGESTION**

The Swiss Technology Group and ILFA acquisitions introduce integration risk and additional debt service, potentially straining cash flow if synergies are delayed.

**REGULATORY AND PRICING SCRUTINY**

Heightened defense procurement oversight could tighten pricing terms, eroding the modest operating margin cushion in the A&D segment.

**TECHNOLOGY DISRUPTION**

Emergence of alternative interconnect technologies, such as silicon photonics, could reduce long-term demand for traditional PCBs.

**REINVESTMENT TREADMILL**

Continued capex to scale AI-driven capacity may outpace cash generation, forcing the firm into a perpetual reinvestment cycle.

**WACC AND DURATION SENSITIVITY**

Any upward shift in the cost of capital above 8.88% would disproportionately affect the present value of later-stage cash flows, widening the valuation gap.

### The strengths

**OLIGOPOLY POSITION**

TTM operates in a concentrated supplier landscape for high-mix, high-reliability PCBs, granting it pricing leverage and customer lock-in.

**FCF COMPOUNDING**

When the AI mix stabilizes, free-cash-flow margins are projected to rise to 12.2% in the base case, creating a compounding engine for shareholder value.

**GEOGRAPHIC DURABILITY**

North-American focus aligns with defense spending cycles and the regional data-center build-out, insulating the firm from volatile overseas demand shocks.

**PIPELINE OPTIONALITY**

The pending Swiss Technology Group and ILFA acquisitions add capacity in emerging high-frequency segments, expanding the addressable market.

### The bottom line on risk and reward

TTM Technologies sits at the intersection of a secular AI data-center expansion and a resilient aerospace & defense backlog. While short-term working-capital pressures and integration risk temper enthusiasm, the underlying revenue trajectory and margin improvement potential justify a Hold recommendation with valuation concerns.

Our blended target $78.67 implies a -17.7% discount to the current price of $95.63, reflecting the gap between current market pricing and our disciplined cash-flow model. Investors should weigh the upside from AI-driven mix acceleration against the downside from execution risk.

**Justin Wen, Senior Equity Research Analyst, Cascadia Analytics**

## FRANCHISE DEEP DIVE

### Printed Circuit Boards: high-mix, high-reliability interconnects for mission-critical systems

TTM's core franchise delivers multilayer PCBs that meet stringent aerospace, defense, telecom and automotive specifications. The product line spans high-frequency, high-density interconnects required for AI accelerators, as well as ruggedized boards for defense platforms. The company's engineering depth enables rapid design-to-volume cycles, a critical advantage in the fast-moving data-center market.

Recent quarters illustrate the franchise's momentum. Q2 FY2026 recorded a 91% YoY surge in data-center and networking sales, lifting the segment to 40% of total revenue. Q1 FY2026 saw a 67% YoY increase in the same segment, now representing 36% of sales. Q4 FY2025 marked the first time data-center and networking reached 36% of sales, up from 29% a year earlier. Across FY2025, the A&D segment maintained a 1.35 book-to-bill ratio and a $1.6 billion backlog, underscoring its stability.

**What the recent record shows**

- AI-driven data-center demand is expanding at double-digit rates, now accounting for up to 40% of sales.
- Adjusted EBITDA margins have risen from 12.7% in Q4 FY2025 to 16.6% in Q2 FY2026, reflecting higher ASPs.
- Working-capital consumption spiked in Q2 FY2026 with a $156 million receivables increase, tempering cash flow.
- Integration of Swiss Technology Group and ILFA is slated for Q3 FY2026, adding $1.0 billion of revolver capacity.

**Our read:** The PCB franchise is transitioning from a diversified defense-heavy mix to a high-margin AI data-center focus. If the mix shift sustains and working-capital normalizes, free-cash-flow generation will accelerate, supporting the base-case valuation. Conversely, prolonged integration risk or a slowdown in AI spend could re-anchor the firm to its historical low-margin profile.

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